

ABANSFINANCE PLC
FINANCIAL STATEMENTS
31 MARCH 2018

NDeS/PML/JJ

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF ABANS FINANCE PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2018, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company gives a true and fair view of the financial position of the Company as at 31 March 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

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Key audit matter	
Allowance for impairment of loans & leases	
As at 31 March 2018, loans & advances and receivables from lease & hire purchase (net of impairment) amounted to Rs. 2.43Mn and Rs. 4.49Mn respectively. These collectively contributed 77 % to the Company's total assets. The allowance for impairment (both specific and collective) of these financial assets is estimated by management. The estimation involves a complex calculation. Assumptions used by management in this calculation are inherently judgmental. Note 9.2 to the financial statements more fully describes the assumptions to which this estimate is most sensitive. We considered the estimation of allowance for impairment as a Key Audit Matter due to sensitivity of reported results (on financial performance) to this allowance and the inherent uncertainty involved in its estimation.	To assess the reasonableness of the allowance for impairment, our audit procedures (among others) included the following: - We understood & evaluated the key internal controls over estimation of the allowance for impairment including those over identifying occurrence of loss events; - We test - checked the underlying calculations [and data used in such calculations] on a sample basis; - In addition to the above, focused procedures were performed as follows: • <i>Specific allowance for impairment:</i> - For a sample of non - performing loans & leases, management's forecasts of cash flow were test - checked to historical patterns of customer repayment. Among other procedures, forecast cash flows arising from collateral (or other source(s) of expected recovery) were verified to source documents; • <i>Collective allowance for impairment:</i> - For loss rates used by management, we assessed the appropriateness of the loss emergence period including consistency with historical loss experience; assumptions on effects arising from macro - economic factors were compared to published data; - We assessed the adequacy of the related financial statement disclosures as set out in notes 19 and 20.

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Other information included in the 2018 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



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2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

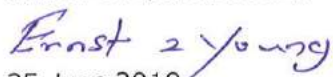
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1864.


25 June 2018
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2018

	Notes	2018 Rs.	2017 Rs.
Income	5	1,917,670,594	1,620,506,380
Interest Income	5.1	1,711,585,707	1,494,673,696
Interest Expenses	5.2	(813,594,238)	(623,639,761)
Net Interest Income		897,991,469	871,033,935
Fee and Commission Income	6.1	185,717,691	104,114,176
Fee and Commission Expenses	6.2	(143,550,479)	(84,747,252)
Net Fee and Commission Income		42,167,212	19,366,924
Net Gain/(loss) from Trading	7	1,676,964	948,394
Other Operating Income (net)	8	18,690,232	20,770,114
Total Operating Income		960,525,877	912,119,367
Impairment (Charges) / Reversal for loans and other losses			
Individual	9.1	(19,689,954)	(21,441,585)
Collective	9.2	(203,412,165)	(167,927,808)
Net Operating Income		737,423,758	722,749,974
Operating Expenses			
Personnel Costs	10	(256,394,681)	(217,088,659)
Depreciation & Amortization	11	(23,644,486)	(18,660,549)
Other Operating Expenses	12	(265,780,655)	(234,275,675)
Operating Profit before Value Added Tax on Financial Services		191,603,937	252,725,091
VAT & NBT on Financial Services		(58,654,511)	(55,318,763)
Profit before Taxation from Operations		132,949,426	197,406,328
Provision for Income Taxation	13.1	(38,085,738)	(63,842,188)
Profit for the Year		94,863,688	133,564,140
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	33.1	(1,247,133)	3,531,254
Deferred Tax effect of above	13.1	349,197	(988,751)
		(897,936)	2,542,503
Other Comprehensive Loss for the Year, Net of Tax		(897,936)	2,542,503
Total Comprehensive Income for the Year		93,965,752	136,106,643
Earnings Per Share : Basic / Diluted (Rs.)	14	1.44	2.36

Accounting Policies and Notes from pages 09 to 68 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

As at 31 March 2018

	Notes	2018 Rs.	2017 Rs.
Assets			
Cash and Bank Balances	15	405,474,541	376,968,804
Placement With Banks	16	550,601,090	384,100,772
Repurchase Agreements	17	362,248,075	250,809,890
Financial Investments - Held for Trading	18	-	7,624,408
Loans and Advances	19	2,435,821,344	2,145,676,031
Lease rentals receivable & Stock out on hire	20	4,492,296,195	3,679,965,646
Financial Investments - Available for Sale	21	80,400	80,400
Financial Investments - Held to Maturity	22	239,630,135	238,572,963
Other Financial Assets	23	155,935,006	108,507,477
Real Estate Stock	24	58,049,675	66,050,693
Other Non Financial Assets	25	74,538,359	40,725,064
Tax Recoverable		19,422,858	20,800,270
Property, Plant & Equipment	27	89,641,860	85,843,673
Intangible Assets	26	21,098,350	22,681,042
Deferred Tax Assets	28	52,586,166	57,800,324
Total Assets		8,957,424,054	7,486,207,457
Liabilities			
Due to Banks	29	218,381,026	213,738,920
Due to Customers	30	6,615,159,367	5,550,552,545
Other Financial Liabilities	31	525,278,976	482,649,541
Other Non Financial Liabilities	32	12,064,037	13,862,374
Retirement Benefit Liability	33	18,912,720	15,138,320
Total liabilities		7,389,796,126	6,275,941,700
Shareholders' Funds			
Stated Capital	34	1,121,412,955	844,073,080
Statutory Reserve Fund	35.2	108,239,567	89,266,829
Retained Earnings	35.1	337,975,406	276,925,848
Total Shareholders' Funds		1,567,627,928	1,210,265,757
Total Liabilities and Shareholders' Funds		8,957,424,054	7,486,207,457
Commitments and Contingencies	40	144,325,714	172,609,297

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

Ivon Brohier (Sgnd.)
Chief Financial Officer

The Board of Directors is responsible for the Financial Statements. Signed for and on behalf of the Board by,

Roshan Nanayakkara (Sgnd.)
Director

V.K Choksy (Sgnd.)
Director

Accounting Policies and Notes from pages 09 to 68 form an integral part of these Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2018

	Stated Capital	Statutory Reserve	Reserve on Available for Sale Financial Instruments	Retained Earnings	Total
	Rs. (Note 34)	Rs. (Note 35.2)	Rs.	Rs. (Note 35.1)	Rs.
Balance as at 1 April 2016	382,373,630	62,554,000	-	169,597,476	614,525,106
Issue of Shares	461,699,450	-	-	-	461,699,450
Direct Cost on Right Issue	-	-	-	(785,447)	(785,447)
Direct Cost on Private Placement	-	-	-	(1,279,995)	(1,279,995)
Net profit for the year	-	-	-	133,564,140	133,564,140
Other Comprehensive Income net of tax	-	-	-	2,542,503	2,542,503
Total Comprehensive Income for the year	-	-	-	134,041,201	595,740,651
Transfer to Statutory Reserve	-	26,712,829	-	(26,712,829)	-
Balance as at 31 March 2017	844,073,080	89,266,829	-	276,925,848	1,210,265,757
Issue of Shares	277,339,875	-	-	-	277,339,875
Direct Cost on Right Issue	-	-	-	(631,142)	(631,142)
Dividend Paid	-	-	-	(13,312,315)	(13,312,315)
Net profit for the year	-	-	-	94,863,688	94,863,688
Other Comprehensive Income net of tax	-	-	-	(897,936)	(897,936)
Total Comprehensive Income for the year	277,339,875	-	-	80,022,296	357,362,171
Transfer to Statutory Reserve	-	18,972,738	-	(18,972,738)	-
Balances as at 31 March 2018	1,121,412,955	108,239,567	-	337,975,406	1,567,627,928

Accounting Policies and Notes from pages 09 to 68 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 March 2018

	Notes	2018 Rs.	2017 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		132,949,426	197,406,328
Adjustments for			
Depreciation	27.2	20,670,196	16,146,846
Amortization of Intangible Assets	26	2,974,290	2,513,703
Impairment Provision	9	223,102,119	189,369,393
Diminution/(Appreciation) in Value of Investments	7	(1,561,557)	(674,167)
Loss/(Profit) from Sale of Investments	7	168,046	-
Loss/(Profit) from Sale of Unit Trust	8	-	(2,142,786)
Loss/(Profit) on Disposal of Property & Equipment	8	(1,182,865)	-
Provision/(Reversal) for Defined Benefit Plans	10	5,667,867	4,466,536
Dividend Received		(283,453)	(274,227)
Operating Profit before Working Capital Changes		382,504,069	406,811,625
(Increase)/Decrease in Real Estate Stock		8,001,017	17,015,788
(Increase)/Decrease in Loans and Advances		(342,668,574)	(1,017,572,990)
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(845,544,301)	(83,841,030)
(Increase)/Decrease in Other Financial Assets		(184,792,632)	(163,503,724)
(Increase)/Decrease in Other Non Financial Assets		(33,813,296)	57,169,761
Increase/(Decrease) in Amounts Due to Customers		1,064,606,822	1,011,190,324
Increase/(Decrease) in Other Financial Liabilities		42,629,434	(354,375,970)
Increase/(Decrease) in Other Non Financial Liabilities		(1,798,337)	5,775,853
Cash Generated from Operations		89,124,202	(121,330,364)
Retirement Benefit Liabilities Paid	33	(3,140,600)	(1,046,300)
Taxes Paid		(31,135,695)	(138,357,828)
Net Cash From/(Used in) Operating Activities		54,847,906	(260,734,492)
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	27	(27,690,516)	(26,179,254)
Acquisition of Intangible Assets	26	(1,391,598)	(9,585,849)
Proceeds from Sales of Property, Plant & Equipment		4,391,000	-
Acquisition of Financial Investment held - for - trading		-	(35,000)
Proceeds from Sale of Financial investments held -for- trading		9,022,642	-
Cash Flow from /(Used in) Fixed Deposits		(300,874,398)	(3,710)
Sale/(Purchase) of Financial Investments- Held to Maturity		(1,057,171)	(216,903,150)
Sale of Financial Investments- Unit Trust		-	102,142,786
Purchase of Financial Investments- Unit Trust		-	(100,000,000)
Dividend Received		283,453	274,227
Net Cash Flows from/(Used in) Investing Activities		(317,316,588)	(250,289,950)
Cash Flows from / (Used in) Financing Activities			
Net Cash Outflow from Securitized Borrowings and other bank facilities		(91,666,666)	(104,971,953)
Cash Flow from Debt Instruments Issued and Other Borrowings	29.2	100,000,000	250,000,000
Net Cash Flow from Issue of Shares		276,708,733	459,634,008
Dividend Paid		(13,312,315)	-
Net Cash Flows from/(Used in) Financing Activities		271,729,752	604,662,054
Net Increase in Cash and Cash Equivalents		9,261,070	93,637,612
Cash and Cash Equivalents at the beginning of the year		999,476,642	905,839,030
Cash and Cash Equivalents at the end of the year	15.1	1,008,737,712	999,476,642

Accounting Policies and Notes from pages 09 to 68 form an integral part of these Financial Statements.

1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is a domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities. The Company also deals in real estate and Real Estate and related Services.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka

1.4 Date of Authorization for Issue

The Financial Statements of Abans Finance PLC for the year ended 31 March 2018 was authorized for issue in accordance with a resolution of the Board of Directors on 25 June 2018.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2018 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007.

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis, except for Financial Investments held for trading and Available-for-sale financial assets which are measured at fair value and Defined Benefit Obligations which are measured at present value using the projected unit credit method in the Statement of Financial position.

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees, which is also the Company's functional and presentation currency. (except otherwise indicated).

2.4 Presentation of financial statements

The Company presents its Statement of Financial Position broadly grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 39.

2.5 Materiality & Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

2.6 Comparative Information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 Presentation of Financial Statements.

The comparative information is re-classified wherever necessary to conform to the current year's presentation. Note 46

2.7 Events after Reporting Date

All material events after the reporting date have been considered and appropriate disclosures are made in Note 41 to the Financial Statements.

2.8 Statement of Cash Flows

The Statement of Cash flows is prepared using the indirect method, as stipulated in LKAS 7-“Statement of Cash Flows”. Cash and cash equivalents comprise cash in hand; cash at bank, bank overdraft and Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company’s ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company’s ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 33.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company.

III. Impairment losses on Loans and Advances (Finance Leases ,Hire Purchases, Mortgage Loans, Revolving Loans and Business/Personal Loans)

The Company reviews their individually significant loans and advances at each date of statement of financial position to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes in to account data from the loan portfolio (such as asset type, past due status, etc.), and judgements on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates).

IV. Impairment of Financial Investments - Available for Sale Financial Assets

The Company reviews its debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgement as applied to the individual assessment of loans and advances.

The Company also records impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the Company evaluates, among other factors, historical share price movements and duration and extent to which the fair value of an investment is less than its cost.

V. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 37 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 37.1 to the Financial Statements.

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortisation of Property, Plant, Equipments and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgement is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 40 for more details on Commitments and Contingencies.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**4.1 Cash and Cash Equivalents**

The Cash Flow statement is prepared using the indirect method, as stipulated in LKAS 7-“Statement of Cash Flows” Whereby operating, investing and financial activities are separately recognised.

For the purpose of the Statement of Cash Flow, cash and cash equivalents as referred to in the cash flow statement comprises cash in hand, non-restricted current account balances with Company’s on demand (net of unfavourable balances) or with an original maturity of three months or less and placements with banks (less than three months) Details of Cash and Cash Equivalents are given in note 15

4.2 Financial Assets**4.2.1 Financial Assets – Initial Recognition and Subsequent Measurement**

Financial Assets within the scope of LKAS 39 are classified as Loans and Advances, Lease Rental Receivables, Financial Investments Held-to-Maturity, Financial Investments Available-for-sale, Financial Investments Held for Trading as appropriate. The Company determines the classification of its financial assets at initial recognition.

(i) Date of recognition

All Financial Assets are initially recognized on the trade date, i.e., the date that the company becomes a party to the contractual provisions of the instrument. This includes ‘regular way trades’: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Those trades are initially recognized on the settlement date.

(ii) Initial measurement of Financial Assets

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management’s intention in acquiring them. All Financial Assets are measured initially at their fair value plus transaction costs, except in the case of financial assets recorded at fair value through profit or loss.

(iii) Financial Assets Held for Trading

Financial assets held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognized in ‘Net Trading Income’. Dividend income is recorded in ‘Net trading income’ according to the terms of the contract, or when the right to the payment has been established.

(iv) Available for Sale Financial Assets

Available for sale investments include non-quoted equity securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss.

Dividends earned whilst holding available for sale financial investments are recognised in the income statement as 'Other operating income' when the right of the payment has been established.

The Company has measured its non-quoted equity investments classified as available for sale financial instruments at Fair Value.

(v) Held-to-Maturity Financial Investments

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. Subsequent to initial recognition, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate less impairment.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the Effective Interest Rate.

The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment of such investments are recognised in the income statement line 'Impairment (Charges) / Reversal for loans and other losses'.

If the company was to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available for sale. Furthermore, the company would be prohibited from classifying any financial asset as held to maturity during the following two years.

(vi) Loans and Advances to customers and Lease Rental Receivables from customers

Loans and advances to customers and Lease Rental Receivables from customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that the company, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration

After initial measurement, amounts 'loans and advances to customers and Lease Rental Receivables from customers are subsequently measured at amortised cost using the Effective Interest Rate, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the Effective Interest Rate. The amortisation is included in 'Interest income' in the income statement. The losses arising from impairment are recognised in the income statement in "Impairment (Charges) / Reversal for loans and other losses"

4.2.2 'Day 1' difference

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in the Income Statement over the tenor of the financial instrument using the effective interest rate method.

4.2.3 Reclassification of Financial Assets

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost, if the basis of measurement of the reclassified category is amortized cost.

For a financial asset reclassified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the Effective Interest Rate. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the Effective Interest Rate. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the income statement.

The Company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the Company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument by instrument basis. The Company does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition.

4.2.4 Derecognition of Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - ▶ The company has transferred substantially all the risks and rewards of the asset. or
 - ▶ The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.2.5 Impairment of Financial Assets

The company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment may include: indications that the borrower or a group of borrowers are experiencing significant financial difficulty; the probability that they will enter bankruptcy or other financial reorganisation default or delinquency in interest or principal payments; and where observable data indicates that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

i. Loans and Advances to customers, Lease Rental Receivable from customers and Stock Out on Hire to Customers

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances are calculated on individual loans and for groups of loans, this is done collectively. Impairment losses are recorded as charges to the income statement. The carrying amount of impaired loans on the statement of financial position is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

Individually assessed Loans and Advances and Lease and Stock out on hire

For all loans that are considered individually significant, the company assesses on a case-by-case basis at each reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence includes:

- Known cash flow difficulties experienced by the borrower;
- Past due contractual payments of either principal or interest;
- Breach of loan covenants or conditions;
- The probability that the borrower will enter bankruptcy or other financial realisation; and
- Significant downgrading in credit rating by an external credit rating agency

For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:

- Company's aggregate exposure to the customer;
- The viability of the customer's business model and the capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- The amount and timing of expected receipts and recoveries;
- The complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- The realisable value of security and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the resultant present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

Collectively assessed Loans and Advances to customers, Lease Rental Receivable from customers and Stock out on Hire to customers

Impairment is assessed on a collective basis in two circumstances:

- To cover losses which have been incurred but have not yet been identified on loans subject to individual assessment; and
- For homogeneous groups of loans those are not considered individually significant.

Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the company has incurred as a result of events occurring before the balance sheet date, which the company is not able to identify on an individual loan basis, and that can be reliably estimated.

These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account:

- Historical loss experience in portfolios of similar credit risk; and
- Management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the balance sheet date is likely to be greater or less than that suggested by historical experience.

Homogeneous groups of Loans and Advances

Statistical methods are used to determine impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis when individual loans are written off, at which point they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net flow rate method

Under this methodology the movement in the outstanding balance of customers in to bad categories over the periods are used to estimate the amount of loans that will eventually be written off as a result of the events occurring before the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated.

Under these methodologies, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required covering inherent loss.

These additional macro and portfolio risk factors may include:

- Recent loan portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in government laws and regulations

Write-off of Loans and Advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

Renegotiated Loans

Where possible, the Company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original Effective Interest Rate (EIR) as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the statement of comprehensive income.

ii. Available for Sale Financial Investments

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired. In the case of debt instruments classified as available for sale, the company assesses individually whether there is objective evidence of impairment.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement. Impairment losses recognized in profit or loss for an investment in an equity instrument classified as available for sale shall not be reversed through profit or loss.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement is removed from equity and recognised in the income statement. Impairment losses on equity investments are not reversed through the income statement; increases in the fair value after impairment are recognised in other comprehensive income.

iii. Held-to-Maturity Financial Assets

An impairment loss in respect of held-to-maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original Effective Interest Rate and is recognized in profit or loss. Interest on impaired assets continues to be recognized through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

4.2.6 Collateral valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, real estate, receivables, and other non-financial assets. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

4.2.7 Collateral Repossessed

The Company's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.2.8 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

4.2.9 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale.

4.3 Non - Financial Assets**4.3.1 Property, Plant and Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement**- Cost Model**

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs.

When parts of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

The Company applies the cost model to property, plant & equipment and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day to day servicing of property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Depreciation

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

4.3.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows;

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortised balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, Calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.3.3 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

4.4 Finance and Operating Lease

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Company is a lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are included in 'Lease rentals receivables and stock out on hire'. The finance income receivable is recognised in 'Net interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'Property, plant and equipment' and the corresponding liability to the lessor is included in 'Due to Banks'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Company includes the assets subject to operating leases in 'Property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the Company is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'other operating expenses' and 'other operating income', respectively.

4.5 Taxes

Income tax expense consists of current and deferred tax. Income tax expense is recognized in the Statement of Comprehensive Income.

4.5.1 Current Taxes

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current as well as prior years. The tax rates and tax laws used to compute the amount are those that are enacted or subsequently enacted at the end of the reporting period.

Accordingly, provision for taxation is made on the basis of the profit for the year as adjusted for taxation purpose in accordance with the provision of the Inland Revenue Act No. 10 of 2006 and the amendment thereto, at the rates specified in Note 13 to the Financial Statements.

Current tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.5.2 Deferred Taxation

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.5.3 Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

4.5.4 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the three subsequent years.

ESC is not payable on turnover on which income tax is payable.

4.5.5 Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act, No 9 of 2009 and subsequent amendments thereto with effect from 01st January 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on Financial Services.

4.5.6 Withholding Tax on Dividends

Withholding tax on dividends distributed by the Company withholding tax that arise from the distribution of dividends of the Company is recognised at the time of liability to pay the related dividend is recognized. At present, the rate of 10% is deducted at source.

4.6 Financial Liabilities**Initial recognition and measurement**

Financial instruments issued by the Company that are not designated as fair value through profit or loss, are classified as other financial liabilities, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset for a fixed number of own equity shares.

The Company recognizes financial liabilities in the Statement of Financial Position when the Company becomes a party to the contractual provisions of the financial liability.

After initial measurement, other financial liabilities are subsequently measured at amortized cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Debt issued and other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.7 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard– LKAS 37 on 'provision, contingent liabilities and contingent assets'.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

4.8 Retirement Benefit Obligations

(i) Defined Benefit Plan – Gratuity

All the employees of the Company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by **LKAS19, Employee Benefits**.

The item is stated under Defined Benefit Liability in the Statement of financial position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

Interest Cost

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

(ii) Defined Contribution Plan

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability. The Company contributes to the following Schemes:

- Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's monthly gross salary (excluding overtime) to the Provident Fund.

- Employees' Trust Fund

The Company contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.9 Recognition of Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

4.10 Interest and Similar Income and Expenses

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the Effective Interest Rate.

Effective Interest Rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the Effective Interest Rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original Effective Interest Rate and the change in carrying amount is recorded as 'Interest and similar income' for financial assets or 'Interest and similar expense' for financial liabilities. However, for a reclassified financial asset for which the Company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the Effective Interest Rate from the date of the change in estimate.

When the carrying amount of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

4.10.1 Fee and Commission Income

The company earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

4.11 Fee income earned from services that are provided over a certain period of time

Fees earned for the provision of services over a period of time are accrued over that period. These fees include Credit related fees & commission, Service charge, Transfer Fees and other fees income. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the Effective Interest Rate on the loan. When it is unlikely that a loan will be drawn down, the loan commitment fees are recognised over the commitment period on a straight line basis.

4.12 Dividend income

Dividend income is recognised when the right to receive the payment is established.

4.13 Income from Government Securities and Securities purchased under Re-Sale Agreement

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

4.14 Fee and Commission Income

The Company earns a fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided in to two categories.

a) Fee Income earned from services that are provided over a certain period of time. (Fees earned for the provision of services over a period of time are accrued over that period.)

b) Fee Income from providing transaction services.(Fees arising from negotiating or participating in the negotiation of a transaction for a third party.)

4.14.1 Commission on Insurance

Commission on Insurance has been accounted for on cash received basis

4.14.2 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

4.14.3 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted for on cash received basis.

4.14.4 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised on a cash basis.

4.14.5 Personnel Costs

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably..

4.14.6 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

4.14.7 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

4.15 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

4.16 Regulatory Provisions***(a) Statutory Reserve Fund***

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

(b) Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.10% on eligible deposit liabilities if the Bank maintains a capital adequacy ratio of 14% or above as at the end of the immediately preceding financial year and a premium of 0.125% on eligible deposit liabilities for all other Licensed Commercial Banks calculated on the total amount of eligible deposits as at the end of the quarter within a period of 15 days from the end of the quarter.

(c) Crop Insurance Levy(CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

4.17 SRI LANKA ACCOUNTING STANDARDS ISSUED BUT NOT EFFECTIVE AS AT REPORTING DATE

SLFRS 16- Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer ('lessee') and the supplier ('lessor'). SLFRS 16 will replace Sri Lanka Accounting Standard – LKAS 17 (Leases) and related interpretations. SLFRS 16 introduces a single lessee accounting model for lessee, eliminating the present classification of leases in LKAS 17 as either operating leases or finance leases.

The new standard requires a lessee to:

Recognize assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value.

Present depreciation of lease assets separately, from interest on lease liabilities in the income statement.

SLFRS -16 substantially carries forward the lessor accounting requirement in LKAS – 17. Accordingly, a lessor continues to classify its leases as operating leases or finance leases, and to account for those two types of leases differently.

SLFRS 16 will become effective on 1st January 2019. The impact on the implementation of the above Standard has not been quantified yet.

4.13 SRI LANKA ACCOUNTING STANDARDS EFFECTIVE FROM JANUARY 2018

The following Sri Lanka Accounting Standards have been issued by the Institute of Chartered Accountants of Sri Lanka which are effective from 01st January 2018. The Company intends to adopt these standards, if applicable, when they become effective.

SLFRS 15 -Revenue from Contracts with Customers

The objective of this Standard is to establish the principles that an entity shall apply to report useful information to users of Financial Statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers.

SLFRS 15 introduces a five step approach for revenue recognition from contracts with customers and replaces all other currently applicable revenue Standards and interpretations.

The Company carried out an initial impact analysis with the assistance of an external consultant during the year ended 31st March 2018. According to the above analysis, the Company does not have any material impact from the adoption of SLFRS 15 in the Financial Year 2017/2018.

SLFRS 9 –Financial Instruments

Sri Lanka Accounting Standard - SLFRS 9 “Financial Instruments” will replace Sri Lanka Accounting Standard - LKAS 39 “Financial Instruments - Recognition and Measurement” for annual periods beginning on or after 1st January 2018 with early adoption permitted.

The initial assessment and analysis stage was completed for impairment in 2017, and the classification and measurement phase is being finalized.

The Company performed the diagnostic phase (Preliminary Impact Assessment exercise) and implementation phase (solution development) on SLFRS 9 Financial Instruments.

The Company has undertaken a significant analysis of how SLFRS 9 should be implemented and has taken tentative accounting policy decisions.

Classification & Measurement

From a classification and measurement perspective, the new standard will require all financial assets, except equity instruments and derivatives, to be assessed based on a combination of the entity’s business model for managing the assets and the instruments’ contractual cash flow characteristics.

Business Model Assessment

Company determines its business model at the level that best reflects how it manages the financial assets to achieve its objectives. The Company’s business model is not assessed on an instrument by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial asset held within that business model are evaluated and reported to the entity’s key management personnel
- The risks that affects the performance of the business model (and the financial asset held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flow collected)
- The expected frequency, value and timing of sales are also important aspect of Company’s assessment

The business model assessment is based on reasonably expected scenarios without taking ‘Worst case’ or ‘Stress Case’ scenarios in to account. If cash flows after initial recognition are realized in a way that is different from the Company’s original expectation, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets.

Contractual Cash flow Characteristic Test

As the second test of the classification process, the Company assesses the contractual terms of the financial assets to identify whether they meet Solely the Payment of Principle & Interest (SPPI).

‘Principle’ for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principle or amortization of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make SPPI assessment, the Company applies judgment and considers relevant factors such as currency in which the financial asset is denominated and the period for which the interest rate is set.

In contrast to contractual exposures that introduce a more than demonstrable exposure to risk or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely the payment of principle and interest on the amount outstanding. In such cases the financial asset is required to be measured at FVPL.

Impairment of Financial Assets

Overview of Expected Credit Loss Principle (ECL)

SLFRS 9 will principally change the Company's loan loss provision method by replacing LKAS 39 Financial Instrument Recognition & Measurement's incurred loss approach with a forward looking ECL Approach.

ECL allowance will be based on credit losses expected to arise over the life of the asset (Lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination in which case the loss allowance will be 12month expected credit loss (12mECL).

12mECL is the portion of LTECL that represent the ECL that results from default events on a financial instrument that are possible within 12months after the reporting date.

Stage 1: When loans are first recognized, the Company recognizes an allowance based on 12mECL. Stage 1 loans also includes the facilities where the credit risk has improved and the loans have been reclassified from Stage 2. Assessment of Stage 1 will be performed collectively.

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECL. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from stage 2. Assessment of stage 2 will be performed.

Stage 3: Loan considered to be credit Impaired/ contains objective evidence of incurred losses records an allowance for the LTECL. Stage 3 assessment will be performed Individually/Collectively.

Significant Increase in Credit Risk

The Company continuously monitors all assets subject to ECL, in order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assess whether there has been a significant increase in credit risk since initial recognition. The Company considers an exposure to have a significant increase in credit risk when either the facility exceeds 30 days past due or at the point of reschedulement.

Individually Significant Assessment and Not Impaired Individually

Company will individually assess all significant customer exposures to identify whether there are any indicators of impairment. Individual assessment will be performed for all the customers with Objective evidence of incurred losses (under Stage 3). Loans which are individually significant but not impaired will be assessed collectively for impairment either under Stage 1 or Stage 2 based on the criteria whether there have been significant credit deterioration since origination.

While establishing significant credit deterioration Company will consider the following criteria:

- ☐ Other changes in the rates or terms of an existing financial instrument that would be significantly different if the instrument was newly originated
- ☐ Significant changes in external market indicators of credit risk for a particular financial instrument or similar financial instrument
- ☐ Other Information related to the borrower, such as changes in the price of a borrower's debt/equity instrument

- ☐ An actual/expected internal credit rating downgrade for the borrower or decrease in behavioural score used to assess credit risk internally
- ☐ Existing or forecast adverse changes in business, financial or economic condition that are expected to cause significant change in the borrower's ability to meet its obligation
- ☐ An Actual or expected significant change in the operating results of the borrower in relating to actual/expected decline in revenue, Increase in operating risk, working capital deficiency, Decrease in Asset quality, Increase in gearing, liquidity management problems
- ☐ Significant increase in credit risk on other financial instruments of the same borrower
- ☐ An Actual or expected significant adverse change in the regulatory, economic or technological environment of the borrower that result in a significant change in the borrower's ability to meet the debt obligation

Grouping financial assets measured on a collective basis

As explained above, the Company calculates ECL either on a collective or individual basis. Asset classes where Company calculates ECL on an Individual basis includes All Individually significant Assets which are belong to stage 3. All assets which belong stage 1 & 2 will be assessed collectively for Impairment.

Company groups these exposures for smaller homogeneous exposures, based on a combination of internal and external characteristics such as product type, customer type, days past due etc.

The Calculation of ECL

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio
- EAD: Exposure At Default is the estimate of the exposure at a future default date, taking in to account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract to other wise, expected draw downs on committed facilities.
- LGD: Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral. It is usually expressed as a % of the EAD.

When estimating the ECL, Company considers 3 scenarios (Base Case, Best Case & Worst Case). Each of these scenarios associated with different loss rates. For all products Company considers the maximum period of which the credit losses are determined is the contractual life of a financial instrument.

Forward Looking Information

In its ECL model Company relies on broad range qualitative/quantitative forward looking information as economic input such as:

Quantitative	Qualitative
GDP Growth	Government Policies
Inflation	Status of the Industry Business
Unemployment	Regulatory Impact
Interest Rates	
Exchange Rates	

Transition process of the Company

The Company is in the process of finalising the quantification of impairment performed as of 31st March 2017 based on the requirements of SLFRS 09.

4.14 AMENDMENTS TO EXISTING ACCOUNTING STANDARDS EFFECTIVE FROM JANUARY 2017

Amendments to existing Accounting Standards with effect from 01st January 2017 as published by the Institute of Chartered Accountants of Sri Lanka did not have any impact on the Financial Statements of the Company other than those disclosed below.

LKAS 7 - Statement of Cash Flows

The amendment requires an entity to disclose information that enables users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes.

Accordingly an entity shall disclose the following changes in liabilities arising from financing activities:

- Changes from financing cash flows
- Changes arising from obtaining or losing control of subsidiaries or other businesses
- The effect of changes in foreign exchange rates
- Changes in fair values and
- Other changes

Necessary disclosures have been given under Note 29 to the Financial Statements.

LKAS 12 - Income Taxes

When an entity assesses whether taxable profits will be available against which it can utilize a deductible temporary difference, the entity shall consider whether tax law restricts the sources of taxable profits against which it may make deductions on the reversal of that deductible temporary difference. If tax law imposes no such restrictions, entity may assess the deductible temporary difference in combination with all of its other deductible temporary differences.

However, if tax law restricts the utilization of losses to deduction against income of a specific type, a deductible temporary difference is assessed in combination only with other deductible temporary differences of the appropriate type.

Further the amendment requires an entity to compare the deductible temporary differences with future taxable profit that excludes tax deductions resulting from the reversal of those deductible temporary differences, when evaluating whether the entity will have sufficient taxable profit in future periods. This comparison shows the extent to which the future taxable profit is sufficient for the entity to deduct the amounts resulting from the reversal of those deductible temporary differences.

According to the amendment introduced through Inland Revenue Act, the estimate of probable future taxable profit may include the recovery of some of an entity's assets for more than their carrying amount if there is sufficient evidence that it is probable that the entity will achieve this.

The Company did not have a material impact from the above amendment during the year ended 31 March 2018.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

5. INCOME	2018	2017
	Rs.	Rs.
Interest Income	1,711,585,707	1,494,673,696
Fee & Commission Income	185,717,691	104,114,176
Net Gain/(Loss) from Trading	1,676,964	948,394
Other Operating Income	18,690,232	20,770,114
	<u>1,917,670,594</u>	<u>1,620,506,380</u>
5.1 Interest Income		
Loans and Advances	519,241,077	453,946,296
Lease Rentals Receivable & Stock out on hire	1,047,044,191	924,623,165
Financial Investments - Held to Maturity & Repurchase Agreements	76,205,802	52,571,244
Other Financial Assets	11,604,992	11,566,438
Placement with Banks	57,489,645	51,966,553
Total Interest Income	<u>1,711,585,707</u>	<u>1,494,673,696</u>
Interest income on Loans and Advances and Lease Rentals Receivable & Stock out on hire includes interest income accrued on impaired Financial Assets amounting to Rs.33,947,010/- (2016/2017 -Rs.14,695,267/-).		
5.2 Interest Expenses		
Due to Banks	25,862,725	17,909,634
Due to Customers	787,731,513	605,501,131
Debt Instruments Issued and Other Borrowed Funds	-	228,996
Total Interest Expenses	<u>813,594,238</u>	<u>623,639,761</u>
Notional Tax Credit for Withholding Tax on Government Securities on Secondary Market Transactions		
The Inland Revenue Act No.10 of 2007, provided that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the Company for that year of assessment.		
Accordingly the net interest income earned from the secondary market transactions in Government Securities for the year, has been grossed up in the Financial Statement & the resulting notional Tax credit amounts to Rs.12,410,922/- (2017 - Rs.5,257,125/-)		
6. NET FEE AND COMMISSION INCOME	2018	2017
	Rs.	Rs.
6.1 Fee and Commission Income		
Credit Related Fees and Commissions	28,420,361	16,584,089
Service Charge	149,980,969	82,777,943
Transfer Fees	6,701,763	4,089,167
Other Fees	614,598	662,977
Total Fee and Commission Income	<u>185,717,691</u>	<u>104,114,176</u>
6.2 Fee and Commission Expenses		
Brokerage Fees	143,550,479	84,747,252
Total Fee and Commission Expenses	<u>143,550,479</u>	<u>84,747,252</u>
6.3 Net Fee and Commission Income	<u>42,167,212</u>	<u>19,366,924</u>
7. NET GAIN/(LOSS) FROM TRADING	2018	2017
	Rs.	Rs.
Dividend Income from Financial Investments - Held for Trading	283,453	274,227
Appreciation/ (Depreciation) in Market Value of Financial Investments - Held for Trading	1,561,557	674,167
Profit /(Loss) on sale of Financial Investments - Held for Trading	(168,046)	-
	<u>1,676,964</u>	<u>948,394</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

8. OTHER OPERATING INCOME	2018	2017
	Rs.	Rs.
Income from Sale of Available - for-Sale Financial Investments	-	2,142,786
Profit/(loss) on disposal of Property & Equipment	1,182,865	-
Bad Debt Recoveries	12,974,722	9,077,411
Rent Income	2,877,416	3,292,892
Others	1,655,229	6,257,025
Total Other Operating Income	18,690,232	20,770,114
9. IMPAIRMENT CHARGES/ (REVERSAL) FOR LOANS AND OTHER LOSSES	2018	2017
9.1 Individual	Rs.	Rs.
Loans and Advances	21,668,084	10,742,981
Lease Rentals Receivable & Stock Out on Hire	22,157,800	(15,785,057)
Other Debtors	(24,135,930)	26,483,661
	19,689,954	21,441,585
9.2 Collective		
Loans and Advances	30,850,997	49,700,823
Lease Rentals Receivable & Stock Out on Hire	11,060,134	15,912,220
Other Debtors	161,501,034	102,314,765
	203,412,165	167,927,808
Total Impairment charges/ (Reversal) for Loans and Advances	223,102,119	189,369,393
9.3 Sensitivity of Assumptions in Collective Impairment		
The following table demonstrates the sensitivity to a reasonably possible change in the key assumption (LGD and PD) employed with all other variables held constant with regard to Collective Impairment as at 31 March 2018.		
	Increase/(Decrease) Percentage	Overall Impact to the Profit and Loss in Rs.
Increase/ Decrease in Percentage LGD	10%	10,875,505
	-10%	(10,875,505)
Increase/ Decrease in Percentage PD	10%	19,504,372
	-10%	(9,454,882)
10. PERSONNEL COSTS	2018	2017
	Rs.	Rs.
Salaries and Bonus	185,360,613	159,818,313
Employer's Contribution to EPF	19,642,827	16,943,581
Employer's Contribution to ETF	4,910,707	4,248,395
Gratuity Charge/ (Reversals) for the Year (Note 33.1)	5,667,867	4,466,536
Other Allowances & Staff Related Expenses	40,812,667	31,611,834
	256,394,681	217,088,659
11. DEPRECIATION & AMORTIZATION	2018	2017
	Rs.	Rs.
Depreciation of Property Plant & Equipment	20,670,196	16,146,846
Amortization of intangible assets	2,974,290	2,513,703
	23,644,486	18,660,549

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

12.	OTHER OPERATING EXPENSES	2018 Rs.	2017 Rs.
	Directors' Emoluments	11,342,750	10,900,600
	Auditors Remuneration	1,044,150	876,500
	- Audit	900,000	300,000
	-Non Audit	14,127,605	6,486,716
	Professional & Legal Expenses	141,732,264	130,593,126
	Office Administration & Establishment Expenses	38,665,917	35,374,417
	Advertising & Business Promotion Expenses	8,170,756	7,228,136
	Deposit Insurance premium	49,797,213	42,516,180
	Others	265,780,655	234,275,675

13. TAXATION

13.1 The major components of income tax expense for the years ended 31 March are as follows.

	2018 Rs.	2017 Rs.
(A) Statement of Profit or Loss		
Current Income Tax		
Income Tax for the year	32,522,382	61,211,726
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 28)	5,563,356	2,630,462
	38,085,738	63,842,188
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 28)	(349,197)	988,751
	(349,197)	988,751
(C) Total Tax Expense for the year	37,736,541	64,830,939

13.2 Reconciliation of Accounting Profit and Taxable Income

A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2018 and 2017 is as follows.

	2018 Rs.	2017 Rs.
Accounting Profit Before Income Taxation	132,949,426	197,406,328
Adjustments		
Capital Portion of Leasing Rental Due	1,630,462,901	1,469,478,702
Non-taxable Income/ Losses	(494,099)	(3,091,181)
Disallowable Expenses	239,416,256	247,852,138
Allowable Expenses	(2,091,534,833)	(1,693,032,679)
Total Statutory Income	(89,200,349)	218,613,308
Claim on Carried Forward Tax Losses	205,351,711	-
Taxable Income	116,151,362	218,613,308
Income Tax Rate (%)	28%	28%
Income Tax	32,522,382	61,211,726
Deferred Taxation Charge/(Reversal) (Note 28)	5,563,356	2,630,462
Total Tax Expense (Note 13.1 (A))	38,085,738	63,842,188
Effective tax rate	29%	32%

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

14. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

14.1 Earnings per Share: Basic / Diluted

	2018 Rs.	2017 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	94,863,688	133,564,140
No. of ordinary shares used as the denominator		
Weighted average number of ordinary shares (Note 14.1.1)	65,733,693	56,627,011
Basic / diluted earnings per ordinary share (Rs)	<u>1.44</u>	<u>2.36</u>

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2018	2017	2018	2017
14.1.1 Weighted Average Number of Ordinary Shares for Basic / Diluted EPS				
Number of shares in issue as at 1st April	55,467,978	37,000,000	55,467,978	37,000,000
Add : Number of shares issued under rights issue 2016/2017	-	7,400,000	-	7,400,000
Add : Number of shares issued under private placement 2016/2017	-	11,067,978	-	11,067,978
	<u>55,467,978</u>	<u>55,467,978</u>	<u>55,467,978</u>	<u>55,467,978</u>
Add : Number of shares issued under rights issue 2017/2018	11,093,595	-	9,106,682	-
Add : Bonus element on number of shares issued under rights issue 2017/2018	-	-	1,159,033	1,159,033
Number of shares in issue / weighted average number of shares as at 31st March	<u>66,561,573</u>	<u>55,467,978</u>	<u>65,733,693</u>	<u>56,627,011</u>

15. CASH AND BANK BALANCES

	2018 Rs.	2017 Rs.
Cash in Hand	58,406,720	42,315,367
Balances with Banks	347,067,821	334,653,437
	<u>405,474,541</u>	<u>376,968,804</u>

15.1 Cash and Cash Equivalents in the Cash Flow Statement

	2018 Rs.	2017 Rs.
Cash and Bank Balances	405,474,541	376,968,804
Bank Overdrafts	(8,658,861)	(12,350,088)
Treasury Bills and Repurchase Agreements	362,248,075	250,809,890
Placement with Banks	249,673,957	384,048,036
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>1,008,737,712</u>	<u>999,476,642</u>

Abans Finance PLC
NOTES TO THE FINANCIAL STATEMENTS
Year ended 31 March 2018

16. PLACEMENT WITH BANKS

	2018 Rs.	2017 Rs.
Fixed Deposit Investments	550,601,090	384,100,772
	<u>550,601,090</u>	<u>384,100,772</u>

Fixed Deposit Investments include Investments amounting to Rs.34,000,000/- that have been Pledged for facilities obtained from Banks.

17. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2018 Rs.	2017 Rs.
Repurchased Agreements	362,248,075	250,809,890
	<u>362,248,075</u>	<u>250,809,890</u>

18. FINANCIAL ASSETS- HELD FOR TRADING

	2018 Rs.	2017 Rs.
Quoted equities (Note 18.1)	-	7,624,408
	<u>-</u>	<u>7,624,408</u>

18.1 DEALING SECURITIES

	No of Shares	2018 Cost	Market value	No of Shares	2017 Cost	Market value
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Quoted Shares						
Plantations						
Hotels & Travels						
Mahaweli Reach Hotels PLC	-	-	-	9,400	365,104	178,600
Renuka City Hotel PLC	-	-	-	1,300	394,136	382,850
	-	-	-	10,700	759,240	561,450
Diversified Holdings						
John Keells Holdings PLC	-	-	-	2,720	490,343	375,088
	-	-	-	2,720	490,343	375,088
Power & Energy						
Lanka IOC PLC	-	-	-	15,000	649,191	435,000
	-	-	-	15,000	649,191	435,000
Banking & Finance						
Sampath Bank PLC	-	-	-	4,361	1,036,175	1,129,499
Seylan Bank PLC - Voting	-	-	-	1,000	102,131	87,000
Seylan Bank PLC - Non Voting	-	-	-	12,000	673,660	656,400
Hatton National Bank PLC	-	-	-	1,525	248,806	302,597
First Capital Holdings PLC	-	-	-	1,952	78,757	39,235
Central Finance Company PLC	-	-	-	2,067	239,149	178,175
DFCC Bank	-	-	-	1,000	213,262	114,000
Nations Trust Bank PLC	-	-	-	2,000	183,027	148,000
Union Bank PLC	-	-	-	7,000	189,600	99,400
Commercial Bank Of Ceylon PLC	-	-	-	514	57,740	52,993
Pan Asia Banking Corporation PLC	-	-	-	7,500	159,486	115,500
	-	-	-	40,919	3,181,793	2,922,800
Telecommunication						
Sri Lanka Telecom PLC	-	-	-	4,190	239,386	139,527
	-	-	-	4,190	239,386	139,527
Manufacturing						
Singer Sri Lanka	-	-	-	500	60,672	69,950
Tokyo Cement Company (Lanka) PLC - Non Voting	-	-	-	16,375	640,367	867,875
Tokyo Cement Company (Lanka) PLC - Voting	-	-	-	10,000	444,928	610,000
	-	-	-	26,875	1,145,967	1,547,825
Hospitals						
Lanka Hospital Corporation PLC	-	-	-	3,000	157,343	184,500
	-	-	-	3,000	157,343	184,500
Investment						
Ceylon Investment PLC	-	-	-	1,009	108,300	40,360
Access Engineering Ltd	-	-	-	4,000	150,264	95,200
Ceylon Guardian Investment Trust PLC	-	-	-	505	102,687	45,501
	-	-	-	5,514	361,251	181,061
Automobiles						
United Motors Lanka PLC	-	-	-	500	53,088	39,000
	-	-	-	500	53,088	39,000
Beverage Food & Tobacco						
Stores Supplies						
Hemas Holdings PLC	-	-	-	2,333	117,502	253,597
Piramal Glass Ceylon Plc	-	-	-	100,000	465,152	560,000
	-	-	-	102,333	582,654	813,597
Insurance						
Peoples' Insurance PLC	-	-	-	23,200	348,000	424,560
	-	-	-	23,200	348,000	424,560
Total	-	-	-	234,951	7,968,257	7,624,408

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

19. LOANS AND ADVANCES

	2018	2017
	Rs.	Rs.
Real Estate Loans	2,994,278	3,313,673
Mortgage Loans	586,369,059	405,840,872
Personnel Loans	301,743,047	113,901,642
Loans against Fixed Deposits	145,764,194	164,754,856
Staff Loans	41,841,032	28,408,286
Revolving Loans	133,301,535	170,837,388
Business Loans	815,306,787	393,506,492
Other Loans	563,414,822	967,502,971
	<u>2,590,734,754</u>	<u>2,248,066,180</u>
Less : Allowance for Impairment Losses (Note 19.1)	<u>(154,913,410)</u>	<u>(102,390,149)</u>
Net Loans and Advances	<u>2,435,821,344</u>	<u>2,145,676,031</u>

19.1 Allowance for Impairment Losses

	2018	2017
	Rs.	Rs.
As at 01 April	102,390,149	61,273,426
Charge / (Reversal) for the year	52,523,261	60,443,804
Amounts written off	-	(19,327,081)
As at 31 March	<u>154,913,410</u>	<u>102,390,149</u>
Individual Impairment	39,812,532	18,144,449
Collective Impairment	<u>115,100,878</u>	<u>84,245,700</u>
	<u>154,913,410</u>	<u>102,390,149</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>182,269,548</u>	<u>61,937,004</u>

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2018	2017
	Rs.	Rs.
Gross rentals receivables		
- Lease Rentals	6,221,315,557	5,050,089,722
- Amounts Receivable from Hirers	<u>39,912,328</u>	<u>78,079,436</u>
	<u>6,261,227,885</u>	<u>5,128,169,158</u>
Less: Unearned Income	<u>(1,481,675,613)</u>	<u>(1,192,323,653)</u>
Net rentals receivables	<u>4,779,552,272</u>	<u>3,935,845,505</u>
Less : Rental Received In Advance	(16,512)	(16,512)
Less : Suspended VAT	<u>(5,333,626)</u>	<u>(7,171,161)</u>
	<u>4,774,202,134</u>	<u>3,928,657,832</u>
Less : Allowance for Impairment Losses (Note 20.1)	<u>(281,905,939)</u>	<u>(248,692,186)</u>
Total net rentals receivable (Note 20.2, 20.3)	<u>4,492,296,195</u>	<u>3,679,965,646</u>

Lease & hirers receivables include receivables amounting to Rs. 766,811,112 that have been Pledged for facilities obtained from Banks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)**20.1 Allowance for Impairment Losses**

	2018	2017
	Rs.	Rs.
As at 01 April	248,692,186	276,780,949
Charge / (Reversal) for the year	33,213,752	127,163
Amounts written off	-	(28,215,926)
As at 31 March	<u>281,905,938</u>	<u>248,692,186</u>
Individual Impairment	40,045,920	17,888,120
Collective Impairment	<u>241,860,019</u>	<u>230,804,066</u>
	<u>281,905,939</u>	<u>248,692,186</u>
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>92,080,129</u>	<u>52,440,345</u>

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
20.2 As at 31st March 2018				
Gross rentals receivables				
- Lease Rentals	3,349,447,344	2,871,712,521	155,692	6,221,315,557
- Amounts Receivable from Hirers	<u>36,105,909</u>	<u>3,806,419</u>	<u>-</u>	<u>39,912,328</u>
	3,385,553,253	2,875,518,940	155,692	6,261,227,885
Less: Unearned Income	<u>(627,475,860)</u>	<u>(854,133,936)</u>	<u>(65,816)</u>	<u>(1,481,675,613)</u>
Net rentals receivables	<u>2,758,077,393</u>	<u>2,021,385,004</u>	<u>89,876</u>	<u>4,779,552,272</u>
Less : Rental Received In Advance				(16,512)
Less : Suspended VAT				<u>(5,333,626)</u>
				4,774,202,134
Less : Allowance for Impairment Losses				<u>(281,905,939)</u>
Total net rentals receivable				<u>4,492,296,195</u>

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
20.3 As at 31st March 2017				
Gross rentals receivables				
- Lease Rentals	2,805,275,780	2,244,813,942	-	5,050,089,722
- Amounts Receivable from Hirers	<u>65,384,569</u>	<u>12,694,867</u>	<u>-</u>	<u>78,079,436</u>
	2,870,660,349	2,257,508,809	-	5,128,169,158
Less: Unearned Income	<u>(730,522,043)</u>	<u>(461,801,610)</u>	<u>-</u>	<u>(1,192,323,653)</u>
Net rentals receivables	<u>2,140,138,306</u>	<u>1,795,707,199</u>	<u>-</u>	<u>3,935,845,505</u>
Less : Rental Received In Advance				(16,512)
Less : Suspended VAT				<u>(7,171,161)</u>
				3,928,657,832
Less : Allowance for Impairment Losses				<u>(248,692,186)</u>
Total net rentals receivable				<u>3,679,965,646</u>

21. FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

	2018	2017
	Rs.	Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

22. FINANCIAL INVESTMENTS - HELD TO MATURITY	2018 Rs.	2017 Rs.
Government of Sri Lanka Treasury Bills	216,714,891	216,321,780
Government of Sri Lanka Treasury Bonds	22,915,244	22,251,183
	<u>239,630,135</u>	<u>238,572,963</u>
23. OTHER FINANCIAL ASSETS	2018 Rs.	2017 Rs.
Other Receivables	200,260,699	150,009,839
Deposit	15,409,628	13,682,034
Due From Related Parties	14,734,680	21,011,870
	<u>230,405,007</u>	<u>184,703,743</u>
Less : Allowance for Impairment Losses (Note 23.1)	<u>(74,470,001)</u>	<u>(76,196,266)</u>
	<u>155,935,006</u>	<u>108,507,477</u>
23.1 Allowance for Impairment Losses		
Balance at the Beginning	76,196,266	167,657,318
Charge / (Reversal) for the year	137,365,104	128,798,427
Amounts written off	<u>(139,091,369)</u>	<u>(220,259,479)</u>
Balance at the end of the year	<u>74,470,001</u>	<u>76,196,266</u>
Individual Impairment	1,213,834	25,349,764
Collective Impairment	<u>73,256,167</u>	<u>50,846,502</u>
	<u>74,470,001</u>	<u>76,196,266</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>3,658,939</u>	<u>27,904,052</u>
24. REAL ESTATE STOCK	2018 Rs.	2017 Rs.
Real Estate Stocks	58,049,675	66,050,693
	<u>58,049,675</u>	<u>66,050,693</u>
25. OTHER NON FINANCIAL ASSETS	2018 Rs.	2017 Rs.
Advances	35,446,356	15,831,344
Pre-paid Staff Cost	22,429,909	9,710,210
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	4,139,456	5,376,261
Pre-Paid Expenses	<u>12,310,008</u>	<u>9,594,619</u>
	<u>74,538,359</u>	<u>40,725,064</u>
26. INTANGIBLE ASSETS	Computer Software 2018 Rs.	2017 Rs.
Cost		
Cost as at 01st April	53,967,404	44,381,555
Additions	<u>1,391,598</u>	<u>9,585,849</u>
As at 31 March	<u>55,359,002</u>	<u>53,967,404</u>
Amortisation & Impairment:		
As at 1 April	31,286,362	28,772,659
Amortisation Charge for the year	<u>2,974,290</u>	<u>2,513,703</u>
As at 31 March	<u>34,260,652</u>	<u>31,286,362</u>
Net book value:		
As at 31 March	<u>21,098,350</u>	<u>22,681,042</u>

Nature and Amortization Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets (Computer Software) to the aggregate value of Rs.1,391,597 (2016/2017 - Rs.9,585,849).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

27. PROPERTY, PLANT AND EQUIPMENT

27.1 Gross Carrying Amounts	Balance As at 01.04.2017 Rs.	Additions/ Transfers Rs.	Disposals Rs.	Balance As at 31.03.2018 Rs.
Cost				
Freehold Assets				
Land	28,094,075	-	(3,153,982)	24,940,093
Furniture & Fittings	53,046,579	11,572,278	(45,030)	64,573,827
Office Equipment	21,930,506	4,045,369	(130,852)	25,845,023
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	45,654,654	12,072,870	-	57,727,524
Total Value of Depreciable Assets	152,051,427	27,690,517	(3,329,864)	176,412,080

27.2 Depreciation	Balance As at 01.04.2017 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2018 Rs.
Freehold Assets				
Furniture & Fittings	29,342,812	8,063,720	(45,030)	37,361,502
Office Equipment	9,650,975	2,443,025	(62,700)	12,031,300
Motor Vehicles	3,325,613	-	-	3,325,613
Computer Hardware	23,888,354	10,163,451	-	34,051,805
	66,207,754	20,670,196	(107,730)	86,770,220

27.3 Net Book Values	2018 Rs.	2017 Rs.
At Cost		
Land	24,940,093	28,094,075
Furniture & Fittings	27,212,325	23,703,767
Office Equipment	13,813,723	12,279,531
Motor Vehicles	-	-
Computer Hardware	23,675,719	21,766,300
Total Carrying Amount of Property, Plant & Equipment	89,641,860	85,843,673

27.4 The useful lives of the assets are estimated as follows;	2018	2017
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Equipment	4 years	4 years

27.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 27,690,516/- (2016/2017- Rs.26,179,255/-)

27.6 Cost of fully depreciated assets of the company as at 31 March 2018 is Rs. 41,040,777/- (2016/2017 - Rs. 34,591,434/-).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

28. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Deferred Tax Liability						
Capital Allowances for Tax Purposes						
-Property Plant & Equipment	10,268,583	8,900,867	-	-	1,367,716	3,493,043
-Leased Asset	108,547,217	15,953,999	-	-	92,593,219	15,953,999
Define Benefit Plan- Other Comprehensive Income	-	558,540	(558,540)	558,540	-	-
	<u>118,815,800</u>	<u>25,413,405</u>	<u>(558,540)</u>	<u>558,540</u>	<u>93,960,935</u>	<u>19,447,042</u>
Deferred Tax Assets						
Capital Allowances for Tax Purposes						
-Leased Asset	-	-	-	-	-	31,099,822
Defined Benefit Plans- Income Statement	(5,504,904)	(4,797,269)	-	-	(707,635)	(957,666)
Define Benefit Plan- Other Comprehensive Income	209,343	-	209,343	430,211	-	-
Provision for Impairment on Financial Assets	(108,607,925)	(78,416,461)	-	-	(30,191,465)	(46,958,736)
Brought Forward Tax Losses	(57,498,479)	-	-	-	(57,498,479)	-
	<u>(171,401,966)</u>	<u>(83,213,729)</u>	<u>209,343</u>	<u>430,211</u>	<u>(88,397,579)</u>	<u>(16,816,580)</u>
Deferred income tax charge/(reversal)			<u>(349,197)</u>	<u>988,751</u>	<u>5,563,356</u>	<u>2,630,462</u>
Net Deferred Tax Liability/ (Asset)	<u>(52,586,166)</u>	<u>(57,800,324)</u>				

29. DUE TO BANKS

	2018 Rs.	2017 Rs.
Bank Overdrafts	8,658,861	12,350,088
Securitized Borrowings and Other Bank Facilities (Note 29.2 (a), 29.2 (b))	209,722,165	201,388,832
Total	<u>218,381,026</u>	<u>213,738,920</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

29. DUE TO BANKS (Contd...)

	Amount repayable within 1 year Rs.	2018 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2017 Amount repayable after 1 year Rs.	Total Rs.
29.1 Due to Banks						
Securitized Borrowings and Other Bank Facilities	103,333,333	106,388,832	209,722,165	83,333,333	118,055,499	201,388,832
	103,333,333	106,388,832	209,722,165	83,333,333	118,055,499	201,388,832

29.2 (a) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2017 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2018 Rs.	Period	Security
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	201,388,832	-	20,182,495	83,333,333	20,182,495	118,055,498	36 Months	Lease Portfolio
Term Loan Seylan Bank PLC	-	100,000,000	5,536,329	8,333,333	5,536,328	91,666,667	60 Months	Lease Portfolio
	201,388,832	100,000,000	25,718,824	91,666,666	25,718,823	209,722,165		

29.2 (b) Securitised Borrowings and Other Bank Facilities

	As at 01.04.2016 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2017 Rs.	Period	Security
Direct Bank Borrowings								
Term Loans								
Term Loan Bank of Ceylon	492,203	-	-	486,112	6,091	-	48 Months	Lease & Hire
Term Loan 01 Union Bank of Colombo PLC	15,757,950	-	324,377	15,757,950	324,377	-	48 Months	Purchase
Term Loan Sampath Bank PLC	9,000,000	-	453,670	9,000,000	453,670	-	50 Months	Portfolio
Term Loan 02 Union Bank of Colombo PLC	-	250,000,000	16,698,382	48,611,111	16,698,439	201,388,832	36 Months	Lease Portfolio
	25,250,154	250,000,000	17,476,430	73,855,173	17,482,579	201,388,832		

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

30. DUE TO CUSTOMERS		2018	2017
		Rs.	Rs.
Fixed Deposits		6,583,032,884	5,527,707,069
Savings Deposits		32,126,483	22,845,476
		<u>6,615,159,367</u>	<u>5,550,552,545</u>
31. OTHER FINANCIAL LIABILITIES		2018	2017
		Rs.	Rs.
Trade Payables - Related Parties (31.1)		146,161,587	218,443,576
Non Trade Payables - Related Parties (31.2)		1,764,979	1,012,476
Trade Payables - Other Parties		133,005,500	32,953,866
Accrued Expenses		244,346,910	230,239,623
		<u>525,278,976</u>	<u>482,649,541</u>
31.1 Trade Payables to Related Parties	Relationship		
Abans PLC	Ultimate Parent Company	2,549,551	1,590,488
Abans Auto (Pvt)Ltd	Affiliate Company	143,612,036	216,853,088
		<u>146,161,587</u>	<u>218,443,576</u>
31.2 Non Trade Payables to Related Parties	Relationship		
Abans PLC	Ultimate Parent Company	941,649	-
Abans Retail (Pvt) Ltd	Affiliate Company	211,224	-
Abans Graphics (Pvt) Ltd	Affiliate Company	61,582	-
Abans Environmental Services	Affiliate Company	184,425	201,825
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	4,317	-
AB Securitas (Pvt) Ltd	Affiliate Company	256,197	697,951
AB Logistics (Pvt) Ltd	Affiliate Company	835	-
ABS Courier (Pvt) Ltd	Affiliate Company	104,750	112,700
		<u>1,764,979</u>	<u>1,012,476</u>
32. OTHER NON FINANCIAL LIABILITIES		2018	2017
		Rs.	Rs.
VAT on Financial Services		4,881,309	4,547,099
VAT Payable		300,661	1,785,335
Others		6,882,067	7,529,940
		<u>12,064,037</u>	<u>13,862,374</u>
33. RETIREMENT BENEFIT OBLIGATIONS		2018	2017
Retirement Benefit Obligations - Gratuity		Rs.	Rs.
Balance at the beginning of the year		15,138,320	15,249,338
Current Service Cost		3,775,577	2,754,035
Payments made during the year		(3,140,600)	(1,046,300)
Interest Charged/(Reversed) for the year		1,892,290	1,712,501
(Gain)/loss arising from changes in the assumption		1,247,133	(3,531,254)
Balance at the end of the year		<u>18,912,720</u>	<u>15,138,320</u>

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

33. RETIREMENT BENEFIT OBLIGATIONS (Contd...)		2018	2017
		Rs.	Rs.
33.1 Expenses on Defined Benefit Plan			
Current Service Cost for the year		3,775,577	2,754,035
Interest Charge for the year		1,892,290	1,712,501
		<u>5,667,867</u>	<u>4,466,536</u>
Amount Recognized in the Other Comprehensive Income			
(Gain)/Loss arising from changes in the assumption (Note 33.2)		1,247,133	(3,531,254)
		<u>1,247,133</u>	<u>(3,531,254)</u>
33.2 (Gain) / Loss arising from the changes in the assumption			
Due to change in Demographic Assumptions		-	30,566
Due to change in Financial Assumptions		1,521,991	(2,222,119)
Experience Adjustment		(274,858)	(1,339,701)
		<u>1,247,133</u>	<u>(3,531,254)</u>
33.3 Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2018 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.			
33.4 Assumptions		2018	2017
Discount Rate		10.20%	12.50%
Salary Increment Rate		8.50%	8.50%
Staff Turnover		17.00%	17.00%
Retirement Age		60 Years	60 Years

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

33.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

		2018		2017	
Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%	-	913,512	(913,512)	586,660	(586,660)
-1%	-	(1,013,575)	1,013,575	(644,288)	644,288
-	1%	(1,110,687)	1,110,687	(734,610)	734,610
-	-1%	1,016,782	(1,016,782)	678,756	(678,756)

33.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2018	2017
	Years	Years
Weighted Average Duration of the Defined Benefit Obligation	5.58	4.54
Average Time to Benefit Payout	5.47	5.35

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

33. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**33.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2018	2017
	Rs.	Rs.
Less than 1 year	2,855,665	3,944,830
Between 1-5 years	8,330,035	6,416,140
Between 5-10years	3,957,007	2,793,136
Over 10 years	3,770,013	1,984,214
	<u>18,912,720</u>	<u>15,138,319</u>

34. STATED CAPITAL

	2018		2017	
34.1 Issued and Fully Paid-Ordinary shares	No. of Shares	Rs.	No. of Shares	Rs.
At the beginning of the year	55,467,978	844,073,080	37,000,000	382,373,630
<u>Issued during the year</u>				
-Right Issue	11,093,595	277,339,875	7,400,000	185,000,000
-Private Placement	-	-	11,067,978	276,699,450
At the end of the year	<u>66,561,573</u>	<u>1,121,412,955</u>	<u>55,467,978</u>	<u>844,073,080</u>

During the year, the authorised share capital was increased by Rs.277,339,875 by the issue of 11,093,595 ordinary shares by of Rs.25/= each by way of Right issue.

34.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

35. RETAINED EARNINGS AND OTHER RESERVES

35.1 Retained Earnings	2018	2017
	Rs.	Rs.
As at 01 April	276,925,848	169,597,476
Dividend Paid	(13,312,315)	-
Profit /(Loss) for the Year	94,863,688	133,564,140
Other Comprehensive Income net of tax	(897,936)	2,542,503
Transfers to Statutory Reserve Fund	(18,972,738)	(26,712,829)
Direct Cost on Right Issue	(631,142)	(785,447)
Direct Cost on Private Placement	-	(1,279,995)
As at 31 March	<u>337,975,406</u>	<u>276,925,848</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

35.2 Other Reserves

	Statutory Reserve	Total
	Rs.	Rs.
As at 01 April 2017	89,266,829	89,266,829
Transfers to/(from) during the year	18,972,738	18,972,738
As at 31 March 2018	<u>108,239,567</u>	<u>108,239,567</u>

35.2.1 Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

36. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

36.1 As at 31st March 2018	HFT at Fair Value Rs.	HTM at Amortised Cost Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Assets					
Cash and Bank Balances	-	-	405,474,541	-	405,474,541
Placement With Banks	-	-	550,601,090	-	550,601,090
Repurchase Agreements	-	-	362,248,075	-	362,248,075
Financial Investments - Held for Trading	-	-	-	-	-
Loans and Advances	-	-	2,435,821,344	-	2,435,821,344
Lease rentals receivable & Stock out on Hire	-	-	4,492,296,195	-	4,492,296,195
Financial Investments - Available for Sale	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	239,630,135	-	-	239,630,135
Other financial assets	-	-	155,935,006	-	155,935,006
Total Financial Assets	-	239,630,135	8,402,376,251	80,400	8,642,086,786

	OFL at Amortized Cost Rs.	Total Rs.
Liabilities		
Due to Banks	218,381,026	218,381,026
Due to Customers	6,615,159,367	6,615,159,367
Other Financial Liabilities	525,278,976	525,278,976
Total Financial Liabilities	7,358,819,369	7,358,819,369

36.2 As at 31st March 2017	HFT at Fair Value Rs.	HTM at Amortised Cost Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Assets					
Cash and Bank Balances	-	-	376,968,804	-	376,968,804
Placement With Banks	-	-	384,100,772	-	384,100,772
Repurchase Agreements	-	-	250,809,890	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	7,624,408
Financial Investments - Debt Securities	-	-	-	-	-
Loans and Advances	-	-	2,145,676,031	-	2,145,676,031
Lease rentals receivable & Stock out on Hire	-	-	3,679,965,646	-	3,679,965,646
Financial Investments - Available for Sale	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	238,572,963	-	-	238,572,963
Other financial assets	-	-	108,507,477	-	108,507,477
Total Financial Assets	7,624,408	238,572,963	6,946,028,620	80,400	7,192,306,391

	OFL at Amortized Cost Rs.	Total Rs.
Liabilities		
Due to Banks	213,738,920	213,738,920
Due to Customers	5,550,552,545	5,550,552,545
Other Financial Liabilities	482,649,541	482,649,541
Total Financial Liabilities	6,246,941,006	6,246,941,006

HFT - Held for Trading
 HTM - Held-to-Maturity
 L & R - Loans and Receivables
 AFS - Available for Sale
 OFL - Other Financial Liabilities

37. FAIR VALUE OF FINANCIAL INSTRUMENTS**Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

37.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observable inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31st March 2018	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>

As at 31st March 2017	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted equities	7,624,408	-	-	7,624,408
Financial Investments - Available for Sale				
Unquoted equities	-	-	80,400	80,400
Total Financial Assets	<u>7,624,408</u>	<u>-</u>	<u>80,400</u>	<u>7,704,808</u>

There were no financial liabilities recorded at fair value as at 31 March 2017 & 2018.

There were no transfers between Level 1 and Level 2 during 2017 & 2018.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

37. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

37.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value

Set out below is the comparison, by class, of the carrying amounts of fair values of the company's financial instruments that are not carried at fair value in the financial statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

Financial Assets	Carrying Amount	2018				Carrying Amount	2017			
		Fair Value					Fair Value			
	Rs.	Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.	Rs.	Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.
Loans and Advances	2,435,821,344	-	2,019,393,934	-	2,019,393,934	2,145,676,031	-	1,916,636,928	-	1,916,636,928
Lease rentals receivable & Stock out on Hire	4,492,296,195	-	3,445,927,736	-	3,445,927,736	3,679,965,646	-	3,369,188,748	-	3,369,188,748
Financial Investments - Held to Maturity	239,630,135	-	240,556,351	-	240,556,351	238,572,963	-	236,853,501	-	236,853,501
	7,167,747,674	-	5,705,878,021	-	5,705,878,021	6,064,214,640	-	5,522,679,177	-	5,522,679,177
Financial Liabilities										
Due to Customers	6,615,159,367	-	6,934,668,510	-	6,934,668,510	5,550,552,545	-	5,835,968,390	-	5,835,968,390
	6,615,159,367	-	6,934,668,510	-	6,934,668,510	5,550,552,545	-	5,835,968,390	-	5,835,968,390

The following describes the methodologies and assumptions used to determine the fair values for those financial assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as fair values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of financial investments whose carrying amount is a reasonable approximation of fair value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial assets

Liabilities

Due to Banks
Due to Customers Savings
Debt Instruments Issued and Other borrowed funds
Other Financial Liabilities

Reclassification of financial assets

There have been no reclassifications during 2017 & 2018.

38. RISK MANAGEMENT DISCLOSURES

38.1 Introduction

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

38.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee currently consists of 2 Directors; Managing Director and one Non Executive Director. Chief Executive Officer, Chief Operating Officer, Chief Financial Officer / Accountant, Head of Sales, Head of Recoveries, Head of Branches, Manager – Risk & Compliance, Manager - IT and Manager - Corporate Affairs were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

38.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.

38. RISK MANAGEMENT DISCLOSURES (Contd...)

38.4 Credit Risk

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

38.4.1 Impairment Assessment

For accounting purposes, the Company uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- Significant financial difficulty of the customer
- A breach of contract such as a default of payment
- Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- It becomes probable that the customer will enter bankruptcy or encounter other financial difficulties
- Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Individually assessed allowances

The Company determines the allowances appropriate for each individually significant Loans and Receivables on an individual basis, including any overdue payments of interests, credit rating down grades, or infringement of the original terms of the contract. Items considered when determining allowance amounts include the sustainability of the counterparty's business plan, its ability to improve performance if it is in a financial difficulty, projected receipts and the expected payout should bankruptcy ensue, the availability of other financial support, the realizable value of collateral and the timing of the expected cash flows. Impairment allowances are evaluated at each reporting date, unless unforeseen circumstances require more careful attention.

Collectively assessed allowances

Allowances are assessed collectively for losses on loans that are not individually significant and for individually significant loans and advances that have been assessed individually and found not to be impaired. Allowances are evaluated separately at each reporting date with each portfolio

The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments.

The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, credit utilization, loan to collateral ratios and expected receipts and recoveries once impaired) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.4 CREDIT RISK (Contd...)****38.4.2 Maximum Exposure to Credit risk**

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by the collateral.

Type of Collateral	Maximum Exposure to	Fair Value of Collateral Held				Total Collateral	Net Exposure to
		Cash / Near	Property	Moveable	Other **		
As at 31 st March 2018	Credit Risk	Cash	Mortgages	Assets *		Value	Credit Risk
Cash and Bank Balances (Excluding cash in hand)	347,067,821	-	-	-	-	-	347,067,821
Placement With Banks	550,601,090	-	-	-	-	-	550,601,090
Repurchase Agreements	362,248,075	-	-	-	-	-	362,248,075
Financial Investments - Held for Trading	-	-	-	-	-	-	-
Loans and Advances	2,590,734,754	345,764,194	712,204,652	738,862,291	2,994,278	1,799,825,415	790,909,339
Lease rentals receivable & Stock out on hire	4,774,202,134	-	-	4,378,020,432	-	4,378,020,432	396,181,702
Financial Investments - Available for Sale	80,400	-	-	-	-	-	80,400
Financial Investments - Held to Maturity	239,630,135	-	-	-	-	-	239,630,135
Other Financial assets	155,935,006	-	-	-	-	-	155,935,006
	9,020,499,415	345,764,194	712,204,652	5,116,882,723	2,994,278	6,177,845,847	2,842,653,568

Type of Collateral	Maximum Exposure to	Fair Value of Collateral Held				Total Collateral	Net Exposure to
		Cash / Near	Property	Moveable	Other **		
As at 31 st March 2017	Credit Risk	Cash	Mortgages	Assets *		Value	Credit Risk
Cash and Bank Balances (Excluding cash in hand)	334,653,437	-	-	-	-	-	334,653,437
Placement With Banks	384,100,772	-	-	-	-	-	384,100,772
Repurchase Agreements	250,809,890	-	-	-	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	2,248,066,180	164,754,856	538,541,871	1,153,949,890	3,313,673	1,860,560,290	387,505,890
Lease rentals receivable & Stock out on Hire	3,928,657,832	-	-	3,694,689,732	-	3,694,689,732	233,968,100
Financial Investments - Available for Sale	80,400	-	-	-	-	-	80,400
Financial Investments - Held to Maturity	238,572,963	-	-	-	-	-	238,572,963
Other Financial assets	108,507,477	-	-	-	-	-	108,507,477
	7,501,073,359	164,754,856	538,541,871	4,848,639,622	3,313,673	5,555,250,022	1,945,823,337

* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)

38.4 CREDIT RISK (Contd...)

38.4.3 Credit Quality by Class of Financial Assets

The amounts presented are gross of Impairment allowances.

As at 31 March 2018	Neither Past Due nor Individually Impaired	Past Due Not Individually Impaired	Individually Impaired	Total
Assets				
Cash and Bank Balances	405,474,541	-	-	405,474,541
Placement With Banks	550,601,090	-	-	550,601,090
Repurchase Agreements	362,248,075	-	-	362,248,075
Financial Investments - Held for Trading	-	-	-	-
Loans and Advances	1,623,864,641	784,600,565	182,269,548	2,590,734,754
Lease rentals receivable & Stock out on Hire	2,685,207,295	1,996,914,710	92,080,129	4,774,202,134
Financial Investments - Available for Sale	80,400	-	-	80,400
Financial Investments - Held to Maturity	239,630,135	-	-	239,630,135
Other financial assets	127,881,991	98,864,076	3,658,939	230,405,006
Total	5,994,988,168	2,880,379,351	278,008,616	9,153,376,136

As at 31 March 2017	Neither Past Due nor Individually Impaired	Past Due Not Individually Impaired	Individually Impaired	Total
Assets				
Cash and Bank Balances	376,968,804	-	-	376,968,804
Placement With Banks	384,100,772	-	-	384,100,772
Repurchase Agreements	250,809,890	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	7,624,408
Loans and Advances	1,448,058,464	738,070,712	61,937,004	2,248,066,180
Lease rentals receivable & Stock out on Hire	2,301,218,597	1,574,998,890	52,440,345	3,928,657,832
Financial Investments - Available for Sale	80,400	-	-	80,400
Financial Investments - Held to Maturity	238,572,963	-	-	238,572,963
Other financial assets	107,627,817	49,171,875	27,904,052	184,703,743
Total	5,115,062,115	2,362,241,477	142,281,401	7,619,584,993

38.4.3.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the end of the relevant financial period.

As at 31 March 2018	Past Due but Not Individually Impaired				Total
	1 to 30 days	31 to 60 days	61 to 90 days	More than 91 days	
Loans and Advances	184,174,351	227,330,745	85,602,843	287,492,626	784,600,565
Lease rentals receivable & Stock out on hire	942,899,277	377,258,110	190,651,235	486,106,088	1,996,914,710
Other financial assets	21,293,840	13,860,631	8,242,302	55,467,303	98,864,076
	1,148,367,468	618,449,486	284,496,380	829,066,017	2,880,379,351

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2017	Past Due but Not Individually Impaired				Total
	1 to 30 days	31 to 60 days	61 to 90 days	More than 91 days	
Loans and Advances	230,230,277	164,128,873	78,065,440	265,646,122	738,070,712
Lease rentals receivable & Stock out on hire	524,621,687	295,416,729	163,487,667	591,472,807	1,574,998,890
Other financial assets	5,616,355	5,163,070	4,016,378	34,376,072	49,171,875
	760,468,319	464,708,672	245,569,485	891,495,001	2,362,241,477

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)

38.4 CREDIT RISK (Contd.)

38.4.4 Analysis of Risk Concentration

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2018

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Financial Investments - Held for Trading	Loans and Advances	Lease rentals receivable & Stock out on hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	-	5,813,590	2,486,914	-	-	-	8,300,504
Manufacturing	-	-	-	-	13,429,399	14,225,025	-	-	-	27,654,424
Construction	-	-	-	-	223,355,601	28,697,661	-	-	-	252,053,262
Financial Services	405,474,541	550,601,090	-	-	12,613,593	1,067,655	80,400	-	-	969,837,281
Trading	-	-	-	-	58,961,837	9,110,879	-	-	-	68,072,716
Government	-	-	362,248,075	-	-	-	-	239,630,135	-	601,878,210
Hotels	-	-	-	-	514,593	1,913,744	-	-	-	2,428,336
Services	-	-	-	-	696,887,612	4,295,546,491	-	-	-	4,992,434,103
Others	-	-	-	-	1,424,245,119	139,247,826	-	-	155,935,006	1,719,427,950
Total	405,474,541	550,601,090	362,248,075	-	2,435,821,344	4,492,296,195	80,400	239,630,135	155,935,006	8,642,086,786

As at 31 March 2017

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Financial Investments - Held for Trading	Loans and Advances	Lease rentals receivable & Stock out on hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	-	9,353,520	8,140,110	-	-	-	17,493,630
Manufacturing	-	-	-	1,547,825	18,263,457	21,418,890	-	-	-	41,230,172
Construction	-	-	-	-	64,300,958	38,836,939	-	-	-	103,137,897
Financial Services	376,968,804	384,100,772	-	2,922,800	12,914,651	2,102,489	80,400	-	-	779,089,915
Trading	-	-	-	39,000	68,712,664	13,340,777	-	-	-	82,092,441
Government	-	-	250,809,890	-	-	-	-	238,572,963	-	489,382,853
Hotels	-	-	-	561,450	2,116,412	2,300,839	-	-	-	4,978,701
Services	-	-	-	1,183,587	853,338,328	3,375,019,441	-	-	-	4,229,541,356
Others	-	-	-	1,369,746	1,116,676,042	218,806,161	-	-	108,507,477	1,445,359,425
Total	376,968,804	384,100,772	250,809,890	7,624,408	2,145,676,031	3,679,965,646	80,400	238,572,963	108,507,477	7,192,306,391

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.5 INTEREST RATE RISK**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

38.5.1 Interest Rate Sensitivity

38.5.1.1 The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Rs. Million			
Borrowings/ Advance	Increase (Decrease) in basis points	Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR -LKR	2018 +100/ (-100)	2018 (2.01) / 2.01	2018 (2.98) /2.98
	2017 +100/ (-100)	2017 (1.41) / 1.41	2017 (2.48) / 2.48

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 46% of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.5 INTEREST RATE RISK (Contd...)****38.5.2 Interest Rate Risk**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31/03/2018
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	308,453,199	-	-	-	-	97,021,342	405,474,541
Placement with Banks	249,673,965	300,927,125	-	-	-	-	550,601,090
Securities Purchased under Repurchase Agreement	362,248,075	-	-	-	-	-	362,248,075
Loans and Advances	719,310,731	1,017,147,861	596,602,864	93,720,873	9,039,014	-	2,435,821,344
Lease rentals receivable & Stock out on Hire	1,111,852,139	1,478,274,878	1,739,581,483	162,503,122	84,574	-	4,492,296,195
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	216,714,891	3,181,751	6,809,827	12,923,665	-	-	239,630,135
Other financial assets	-	-	-	-	-	155,935,006	155,935,006
TOTAL ASSETS	2,968,253,000	2,799,531,615	2,342,994,174	269,147,660	9,123,588	253,036,748	8,642,086,786
LIABILITIES							
Due to Banks	34,492,194	77,500,000	74,722,165	31,666,667	-	-	218,381,026
Due to Customers	1,703,912,197	3,614,027,595	1,090,862,152	206,357,423	-	-	6,615,159,367
Other Financial Liabilities	-	-	-	-	-	525,278,976	525,278,976
TOTAL LIABILITIES	1,738,404,391	3,691,527,595	1,165,584,317	238,024,090	-	525,278,976	7,358,819,369
TOTAL INTEREST SENSITIVITY GAP	1,229,848,609	(891,995,980)	1,177,409,857	31,123,570	9,123,588	(272,242,228)	1,283,267,417

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.5 INTEREST RATE RISK (Contd...)****38.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31/03/2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	281,963,504	-	-	-	-	95,005,300	376,968,804
Placement with Banks	384,048,045	52,727	-	-	-	-	384,100,772
Securities Purchased under Repurchase Agreement	-	250,809,890	-	-	-	-	250,809,890
Loans and Advances	619,219,423	712,006,394	754,545,182	54,863,979	5,041,053	-	2,145,676,031
Lease rentals receivable & Stock out on Hire	928,025,318	1,342,912,059	1,278,980,503	126,697,428	3,350,338	-	3,679,965,646
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	216,321,780	3,150,104	19,101,079	-	-	238,572,963
Other financial assets	-	-	-	-	-	108,507,477	108,507,477
TOTAL ASSETS	2,213,256,290	2,522,102,850	2,036,675,789	200,662,486	8,391,391	203,593,177	7,184,681,983
LIABILITIES							
Due to Banks	26,238,920	69,444,445	118,055,555	-	-	-	213,738,920
Due to Customers	1,842,797,336	2,522,776,498	1,076,828,418	108,150,293	-	-	5,550,552,545
Other Financial Liabilities	-	-	-	-	-	482,649,541	482,649,541
TOTAL LIABILITIES	1,869,036,256	2,592,220,943	1,194,883,973	108,150,293	-	482,649,541	6,246,941,006
TOTAL INTEREST SENSITIVITY GAP	344,220,034	(70,118,093)	841,791,816	92,512,193	8,391,391	(279,056,364)	937,740,977

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.6 LIQUIDITY RISK**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

38.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2018	2017
Maximum	28.49%	29.31%
Minimum	19.25%	14.24%
Average	23.54%	23.62%
Closing	23.32%	21.81%

38.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2018	2017
Maximum	113.43%	109.53%
Minimum	104.66%	97.76%
Average	107.67%	102.68%
Closing	104.73%	104.96%

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities****38.6.3.1** The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of relevant financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2018 Rs.
Cash and Bank Balances	405,474,541	-	-	-	-	-	405,474,541
Placement With Banks	27,551,861	232,794,600	323,179,000	-	-	-	583,525,461
Securities Purchased under Repurchase Agreement	212,198,793	151,301,849	-	-	-	-	363,500,642
Loans and Advances	270,951,085	576,465,767	1,304,074,623	838,366,564	164,136,335	16,277,971	3,170,272,345
Lease rentals receivable & Stock out on Hire	480,270,543	873,925,576	2,031,357,134	2,600,187,875	275,250,116	155,692	6,261,146,936
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	221,403,433	3,165,200	8,000,000	13,605,500	-	246,174,133
Other financial assets	3,404,789	139,277,216	1,926,916	2,264,926	9,061,158	-	155,935,006
Total Financial Assets	1,399,851,612	2,195,168,441	3,663,702,873	3,448,819,365	462,053,109	16,514,063	11,186,109,464
LIABILITIES & EQUITY							
Due to Banks	8,658,861	32,451,744	92,465,500	90,650,937	35,393,790	-	259,620,832
Due to Customers	174,007,569	1,543,057,270	3,786,565,290	1,170,559,315	247,116,696	-	6,921,306,140
Other Financial Liabilities	-	525,278,976	-	-	-	-	525,278,976
Total Financial Liabilities	182,666,430	2,100,787,990	3,879,030,790	1,261,210,252	282,510,486	-	7,706,205,948
	1,217,185,182	94,380,451	(215,327,917)	2,187,609,113	179,542,623	16,514,063	3,479,903,516

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

38. RISK MANAGEMENT DISCLOSURES (Contd...)**38.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities**

38.6.3.2 The table below analyses the maturity profile of the undiscounted cash flows of the Company's financial assets & liabilities as at the end of previous financial period.

	On Demand	Up to 03	03-12 Months	01-03 Years	03-05 Years	Over 05	Total as at
	Rs.	Months	Rs.	Rs.	Rs.	Years	31/03/2017
ASSETS		Rs.				Rs.	Rs.
Cash and Bank Balances	376,968,804	-	-	-	-	-	376,968,804
Placement With Banks	35,301,130	354,084,754	56,298	-	-	-	389,442,182
Securities Purchased under Repurchase Agreement	-	-	276,873,626	-	-	-	276,873,626
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	213,663,189	498,143,368	920,296,880	1,092,180,440	101,377,420	8,868,958	2,834,530,255
Lease rentals receivable & Stock out on Hire	429,893,243	702,658,053	1,803,267,913	1,977,295,411	209,086,391	5,970,760	5,128,171,772
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	-	221,415,805	3,165,200	21,605,500	-	246,186,505
Other financial assets	-	108,507,477	-	-	-	-	108,507,477
Total Financial Assets	1,063,450,774	1,663,393,653	3,221,910,522	3,072,641,051	332,069,312	14,920,118	9,368,385,429
LIABILITIES & EQUITY							
Due to Banks	12,350,088	18,005,043	85,692,420	129,104,122	-	-	245,151,673
Due to Customers	371,351,090	1,486,877,630	2,631,955,350	1,140,835,712	117,369,730	-	5,748,389,512
Other Financial Liabilities	-	482,649,541	-	-	-	-	482,649,541
Total Financial Liabilities	383,701,179	1,987,532,214	2,717,647,769	1,269,939,834	117,369,730	-	6,476,190,726
	679,749,595	(324,138,561)	504,262,753	1,802,701,217	214,699,582	14,920,118	2,892,194,703

38.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

39. MATURITY ANALYSIS (CONTRACTUAL)

39.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

	On Demand Rs.	Less than 3 Months Rs.	03 - 12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2018 Rs.
ASSETS							
Cash and Bank Balances	405,474,541	-	-	-	-	-	405,474,541
Placement With Banks	25,176,498	224,497,467	300,927,125	-	-	-	550,601,090
Securities Purchased under Repurchase Agreemer	212,118,596	150,129,479	-	-	-	-	362,248,075
Loans and Advances	256,434,364	462,876,368	1,017,147,861	596,602,864	93,720,873	9,039,014	2,435,821,344
Lease rentals receivable & Stock out on Hire	446,671,205	665,180,933	1,478,274,878	1,739,581,483	162,503,122	84,574	4,492,296,195
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	216,714,891	3,181,751	6,809,827	12,923,665	-	239,630,135
Other financial assets	3,404,789	139,277,216	1,926,916	2,264,926	9,061,158	-	155,935,006
Real Estate Stock	-	5,733,860	20,765,000	31,550,815	-	-	58,049,675
Other Non Financial Assets	-	32,031,858	8,682,385	5,704,483	12,264,035	15,855,598	74,538,359
Tax Recoverable	-	-	19,422,858	-	-	-	19,422,858
Property, Plant & Equipment	-	5,618,925	14,994,108	27,010,097	8,304,048	33,714,682	89,641,860
Intangible Assets	-	743,572	2,230,717	5,948,580	5,948,580	6,226,901	21,098,350
Deferred tax assets	-	-	-	52,586,166	-	-	52,586,166
Total Assets	1,349,279,993	1,902,804,569	2,867,553,601	2,468,059,241	304,725,481	65,001,169	8,957,424,054
Liabilities							
Due to Banks	8,658,861	25,833,333	77,500,000	74,722,165	31,666,667	-	218,381,026
Due to Customers	174,571,946	1,529,340,251	3,614,027,595	1,090,862,152	206,357,423	-	6,615,159,367
Other Financial Liabilities	-	525,278,976	-	-	-	-	525,278,976
Other Non Financial Liabilities	-	12,064,037	-	-	-	-	12,064,037
Retirement Benefit Liability	-	-	2,855,665	4,815,035	3,515,000	7,727,020	18,912,720
	183,230,807	2,092,516,597	3,694,383,260	1,170,399,352	241,539,090	7,727,020	7,389,796,126

39.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining at the end of the previous financial period to the respective contractual maturity dates are given below

	On Demand Rs.	Less than 3 Months Rs.	03 - 12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31/03/2017 Rs.
ASSETS							
Cash and Bank Balances	376,968,804	-	-	-	-	-	376,968,804
Placement With Banks	35,301,130	348,746,915	52,727	-	-	-	384,100,772
Securities Purchased under Repurchase Agreemer	-	-	250,809,890	-	-	-	250,809,890
Financial Investments - Held for Trading	7,624,408	-	-	-	-	-	7,624,408
Loans and Advances	197,795,369	421,424,054	712,006,394	754,545,182	54,863,979	5,041,053	2,145,676,031
Lease rentals receivable & Stock out on Hire	370,612,889	557,412,429	1,342,912,059	1,278,980,503	126,697,428	3,350,338	3,679,965,646
Financial Investments - Available for Sale	-	-	-	-	-	80,400	80,400
Financial Investments - Held to Maturity	-	-	216,321,780	3,150,104	19,101,079	-	238,572,963
Other financial assets	-	108,507,477	-	-	-	-	108,507,477
Real Estate Stock	-	-	12,166,878	32,532,500	21,351,315	-	66,050,693
Other Non Financial Assets	-	17,415,422	19,654,641	3,318,000	337,000	-	40,725,064
Tax Recoverable	-	-	20,800,270	-	-	-	20,800,270
Property, Plant & Equipment	-	4,443,823	12,639,597	25,495,713	8,823,728	34,440,811	85,843,673
Intangible Assets	-	708,783	2,126,348	5,670,260	5,670,260	8,505,392	22,681,042
Deferred tax assets	-	-	-	57,800,324	-	-	57,800,324
Total Assets	988,302,600	1,458,658,903	2,589,490,584	2,161,492,586	236,844,790	51,417,994	7,486,207,457
Liabilities							
Due to Banks	12,350,088	13,888,832	69,444,445	118,055,555	-	-	213,738,920
Due to Customers	371,038,551	1,471,758,785	2,522,776,498	1,076,828,418	108,150,293	-	5,550,552,545
Other Financial Liabilities	-	482,649,541	-	-	-	-	482,649,541
Other Non Financial Liabilities	-	13,862,374	-	-	-	-	13,862,374
Retirement Benefit Liability	-	-	3,944,830	2,901,140	3,515,000	4,777,350	15,138,320
	383,388,639	1,982,159,532	2,596,165,773	1,197,785,113	111,665,293	4,777,350	6,275,941,700

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

40. COMMITMENTS AND CONTINGENCIES

40.1 Commitments

As at 31 st March 2018	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	43,395,515	100,930,199	-	144,325,714
	-	43,395,515	100,930,199	-	144,325,714
As at 31 st March 2017	On Demand Rs.	With in 01 year Rs.	1-5 years Rs.	More than 5 years Rs.	Total Rs.
Operating Lease Commitments-Company as lessee	-	41,111,281	131,498,016	-	172,609,297
	-	41,111,281	131,498,016	-	172,609,297

40.2 Contingent Liabilities

The Company recognized a Contingent Liability of Rs.18,260,106 in relation to the Income Tax Assessment issued by CGIR for the Y/A 2012/2013.

The Inland Revenue Department has issued the determination of appeal dated on 12th January 2018 confirming the Income Tax liability of amounting Rs. 18,260,106 for the Y/A 2012/2013 and The Company has made an appeal to the Tax Appeal Commission on the same.

40.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment incidental to the ordinary course of business.

41. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2018.

42. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

43. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2018 Rs.	2017 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	313,366,667	313,366,667	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	34,000,000	34,000,000	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	419,444,445	402,777,664	Lease Rental Receivables and Stock Out on Hire
		<u>766,811,112</u>	<u>750,144,331</u>	

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

44. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.
Interest Income	1,042,219,905	904,576,211	4,824,287	20,046,954	519,241,078	453,946,296	145,300,438	116,104,235	1,711,585,707	1,494,673,696
Fee Based Income & Others	178,462,964	87,468,321	349,736	659,385	6,904,991	15,986,470	2,924,820	3,964,382	188,642,511	108,078,558
Unallocated Income	-	-	-	-	-	-	17,442,376	17,754,126	17,442,376	17,754,126
Total Revenue	1,220,682,869	992,044,532	5,174,023	20,706,339	526,146,069	469,932,766	165,667,634	137,822,743	1,917,670,594	1,620,506,380
Interest Expenses	(442,701,500)	(355,219,827)	(3,419,295)	(7,539,007)	(250,102,272)	(166,229,062)	(117,371,171)	(94,651,865)	(813,594,238)	(623,639,761)
Fee Based Expenses & Others	(109,785,662)	(57,823,136)	-	-	(83,910)	(215,708)	(33,680,907)	(26,708,408)	(143,550,479)	(84,747,252)
Impairment Reversal / (Provision)	(33,430,770)	(11,746,867)	212,836	11,619,704	(52,519,081)	(60,443,804)	(137,365,104)	(128,798,427)	(223,102,119)	(189,369,393)
Net Operating Income	634,764,936	567,254,703	1,967,564	24,787,037	223,440,806	243,044,191	(122,749,549)	(112,335,957)	737,423,758	722,749,974
Unallocated Expenses									(604,474,332)	(525,343,646)
Profits/ (Loss) before Tax									132,949,426	197,406,328
Income Tax expenses									(38,085,738)	(63,842,188)
Net Profit / (Loss) for the period									94,863,688	133,564,140
Other Comprehensive Income									(897,936)	2,542,503
Total Comprehensive Income for the Year									93,965,752	136,106,643
Segment Assets	4,473,190,120	3,636,435,388	19,106,075	43,530,258	2,435,821,344	2,145,676,031	1,210,528,976	939,534,318	8,138,646,515	6,765,175,995
Unallocated Assets									818,777,539	721,031,462
Total Assets	4,473,190,120	3,636,435,388	19,106,075	43,530,258	2,435,821,344	2,145,676,031	1,210,528,976	939,534,318	8,957,424,054	7,486,207,457
Unallocated Liabilities									7,389,796,126	6,275,941,700
Total Liabilities									7,389,796,126	6,275,941,700

45. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related party disclosure, details of which are reported below. such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

45.1 The Parent

Abans PLC owns 49.67% (2017- 71.60%) shareholding of the Company.

45.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

45.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO).

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel	2018 Rs.	2017 Rs.
Short Term Employee Benefits	19,206,890	24,630,698
Post-employment benefits	1,685,700	2,000,000
	<u>20,892,590</u>	<u>24,630,698</u>

Other transactions with Key Management Personnel	2018 Rs.	2017 Rs.
Fixed Deposits accepted during the year	40,300,000	2,310,130
Fixed Deposits held at the beginning of the year	493,126	1,231,212
Consultancy Fee paid during the year	2,594,592	4,450,600

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2016/2017- Nil).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

45. RELATED PARTY TRANSACTIONS (Contd..)

45.4 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.

Nature of Transaction	Abans PLC Parent Company		Abans Auto (Pvt) Ltd Affiliate Company		Abans Tours (Pvt) Ltd Affiliate Company		Abans Transport (Pvt) Ltd Affiliate Company		Other Related Parties **		Total	
	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Rs.	2017 Rs.	2018 Value Rs.	2017 Value Rs.
Fixed Deposits Accepted during the year	-	-	-	-	-	-	-	-	21,000,000	266,000,000	21,000,000	266,000,000
Fixed Deposits held at the end of the year	-	-	-	-	-	-	-	-	149,597,908	350,148,232	149,597,908	350,148,232
As at 1 April	19,421,382	20,593,249	(216,853,088)	(133,917,475)	50,679,120	-	18,126,280	-	(1,012,476)	(407,755)	(129,638,783)	(113,731,981)
Purchase of Motor Bikes - Lease Granting	-	-	(2,187,268,840)	(2,096,101,772)	-	-	-	-	-	-	(2,187,268,840)	(2,096,101,772)
Collections made on behalf of Abans Finance	216,797,162	1,391,491,587	-	-	-	-	-	-	-	-	216,797,162	1,391,491,587
Expense on collection commission	(17,402,300)	(15,575,555)	-	-	-	-	-	-	-	-	(17,402,300)	(15,575,555)
Support Services Expenses	-	-	-	-	-	-	-	-	(15,012,665)	(3,480,410)	(15,012,665)	(3,480,410)
Rent Income Recognized & Expense Recoveries	4,824,426	9,938,041	-	-	-	-	-	-	(844,898)	(903,061)	3,979,528	9,034,980
Rent Expense Paid	-	-	-	-	-	-	-	-	633,673	1,310,816	633,673	1,310,816
Settlements Paid/(Received)	(212,397,189)	(1,387,025,941)	2,260,509,892	2,013,166,159	-	-	-	-	15,413,036	2,467,934	2,063,525,739	628,608,152
Facilities Granted and Interest Accrued	-	-	-	-	4,417,896	55,607,635	2,832,428	20,005,047	-	-	7,250,324	75,612,682
Settlements received for the facilities	-	-	-	-	(26,683,086)	(4,928,515)	(2,874,011)	(1,878,767)	-	-	(29,557,097)	(6,807,282)
As at 31 March	11,243,480	19,421,382	(143,612,036)	(216,853,088)	28,413,929	50,679,120	18,084,697	18,126,280	(823,330)	(1,012,476)	(86,693,258)	(129,638,783)
Included in											2018 Rs.	2017 Rs.
Loans and Advances											11,732,099	10,828,284
Lease rentals receivable & Stock out on hire											34,766,528	57,977,116
Other Financial Assets											14,734,680	21,011,870
Other Financial Liabilities											(147,926,565)	(219,456,053)
											(86,693,258)	(129,638,783)

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd
 Abans Retail (Pvt) Ltd
 Abans Marketing (Pvt) Ltd
 Abans Electricals PLC (Service Department)
 Abans Office Automation (Pvt) Ltd
 AB Creation (Pvt) Ltd
 Add Outdoor Advertising (Pvt) Ltd
 ABS Gardiner Dixon Hall International (Pvt) Ltd
 Advantage Technologies (Pvt) Ltd
 Abans Environment Services (Pvt) Ltd
 AB Logistics (Pvt) Ltd
 AB Securitas (Pvt) Ltd
 ABS Courier (Pvt) Ltd
 Ironwood Investments Holdings (Pvt) Ltd

"Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

46. COMPARATIVE INFORMATION

The following comparative figures have been reclassified in the Statement of Financial Position (2016/2017) to comply with the current year classification.

OTHER FINANCIAL LIABILITIES	Previous Year Classification	Reclassified	Current Year Classification
Trade Payables - Related Parties	218,443,576	-	218,443,576
Non Trade Payables - Related Parties	-	1,012,476	1,012,476
Trade Payables - Other Parties	32,953,866	-	32,953,866
Accrued Expenses	231,252,099	(1,012,476)	230,239,623
	<u>482,649,541</u>	<u>-</u>	<u>482,649,541</u>

Non Trade Payables to Related Parties

	Relationship			
Abans Environmental Services	Affiliate Company	-	201,825	201,825
AB Securitas (Pvt) Ltd	Affiliate Company	-	697,951	697,951
ABS Courier (Pvt) Ltd	Affiliate Company	-	112,700	112,700
		<u>-</u>	<u>1,012,476</u>	<u>1,012,476</u>

Abans Finance PLC

KEY PERFORMANCE INDICATORS _ AS PER CBSL REQUIREMENT

Year ended 31 March 2018

INDICATOR	As At 31 March 2018 Audited	As At 31 March 2017 Audited
Regulatory Capital Adequacy		
Core Capital (Tier 1 Capital) Rs.'000	1,547,628	1,190,266
Total Capital Base Rs.'000	1,547,628	1,187,382
Core Capital to Risk weighted Asset Ratio % (Minimum 5%)	21.00	19.41
Total Capital to Risk weighted Asset Ratio % (Minimum 10%)	21.00	19.37
Capital Funds to Total Deposit Liabilities Ratio (Minimum 10%)	23.70	21.80
Asset Quality (Quality Of Loan Portfolio)		
Gross Non Performing Accommodations, Rs.'000 *	821,554	520,050
Gross Non Performing Accommodations, Ratio (%) *	10.94	11.18
Net-Non Performing Accommodations, Ratio (%) *	4.43	5.08
<i>* Computed as per the CBSL Guidelines</i>		
Profitability		
Interest Margin (%)	10.92	12.78
Return on Average Assets (%) (Before Tax)	1.62	2.90
Return on Average Equity (%) (After Tax)	6.77	14.92
Regulatory Liquidity (Rs. '000)		
Required Minimum Amount of Liquid Assets	663,122	556,197
Available Amount of Liquid Assets	1,542,375	1,210,120
Required Minimum amount of Government Securities	386,007	330,935
Available Amount of Government Securities	578,963	467,132
Memorandum Information		
Number of Employees	376	374
No. of Branches	10	10
No. of Service Centers	13	13

CERTIFICATION :

We, the undersigned, being the Director and the Chief Financial Officer of Abans Finance PLC

Certify jointly that :

(a) the above statement (Key Performance Indicators) have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka;

(b) the information contained in these statements have been extracted from the audited financial statements of the company

Ivon Brohier (Sgnd.)
Chief Financial Officer

Roshan Nanayakkara (Sgnd.)
Managing Director/CEO